

Budget deficit and surplus

When a government spends more than it collects in taxes, it runs a budget deficit. When tax revenues exceed spending, it has a surplus. As an economy goes into recession, unemployment rises and welfare bills go up, while at the same time tax revenues fall as economic activity declines, so the budget tends to move into deficit. Conversely, during booms tax revenues are high and total welfare payments low, generating a surplus (see [Automatic stabilizers](#)).

The portion of the deficit caused by the economic cycle is the cyclical deficit. Over the cycle, such deficits should be offset by surpluses. The structural deficit, meanwhile, is the part of the deficit that goes beyond cyclical factors. It can arise if the government makes infrastructure investments that are not funded out of tax. Economists take different positions on the budget: some believe deficits are a useful way of fine-tuning the economy; others worry about the debt that builds up through continued deficits.

The relationship between deficit and debt

